

HOUSE JOINT RESOLUTION 17

By McCalmon

A RESOLUTION to urge the United States Congress to repeal all taxes on income and enact a national retail sales tax as specified in H.R. 25, the Fair Tax Act of 2023.

WHEREAS, our Founding Fathers were mindful that history has demonstrated that income taxes give government too much power over citizens; and

WHEREAS, Alexander Hamilton wrote in *The Federalist No. 21* that "it is a signal advantage of taxes on articles of consumption, that they contain in their own nature a security against excess"; and

WHEREAS, the current income tax system requires individual taxpayers to prepare annual tax returns using many complicated forms, causing innocent errors that are heavily punished; and

WHEREAS, the current income tax system actually penalizes marriage; and

WHEREAS, the federal income tax:

(1) Retards economic growth and has reduced the standard of living of the American public;

(2) Impedes the international competitiveness of United States industry;

(3) Reduces savings and investment in the United States by taxing income multiple times;

(4) Slows the capital formation necessary for real wages to steadily increase;

(5) Lowers productivity;

(6) Imposes unacceptable and unnecessary administrative and compliance costs on individual and business taxpayers;

(7) Is unfair and inequitable;

(8) Unnecessarily intrudes upon the privacy and civil rights of United States citizens;

(9) Hides the true costs of government by embedding taxes in the costs of everything that Americans buy;

(10) Is not being complied with at satisfactory levels and, therefore, raises the tax burden on law-abiding citizens; and

(11) Impedes upward social mobility; and

WHEREAS, federal payroll taxes, including social security and Medicare payroll taxes and self-employment taxes:

(1) Raise the cost of employment;

(2) Destroy jobs and cause unemployment; and

(3) Have a disproportionately adverse impact on lower-income Americans; and

WHEREAS, the federal estate and gift taxes:

(1) Force family businesses and farms to be sold by the family in order to pay taxes;

(2) Discourage capital formation and entrepreneurship;

(3) Foster the continued dominance of large enterprises over small family-owned companies and farms; and

(4) Impose unacceptably high tax-planning costs on small businesses and farms; and

WHEREAS, a broad-based national sales tax on goods and services purchased for final consumption:

(1) Is similar in many respects to the sales and use taxes that are authorized in forty-five of the fifty states;

(2) Will promote savings and investment;

(3) Will promote fairness;

(4) Will promote economic growth;

(5) Will raise the standard of living;

- (6) Will enhance productivity and international competitiveness;
- (7) Will reduce administrative burdens on the American taxpayer;
- (8) Will improve upward social mobility; and
- (9) Will respect the privacy interests and civil rights of taxpayers; and

WHEREAS, Congress should consider when implementing the administration of a national sales tax that:

- (1) Most of the practical experience in administering sales taxes is found at the state level;
- (2) It is desirable to harmonize federal and state collection and enforcement efforts to the maximum extent possible;
- (3) It is sound tax administration policy to foster administration and collection of the federal sales tax at the state level in return for a reasonable administration fee to the states; and
- (4) A business that must collect and remit taxes should receive reasonable compensation for the cost of doing so; and

WHEREAS, Tennessee successfully maintains government functions without a personal income tax; and

WHEREAS, Tennessee's reliance on the retail sales tax (consumption tax) since 1947 and elimination of the state personal income tax has proven successful in attracting an ever-increasing number of businesses moving operations and facilities to Tennessee, creating substantial additional jobs; and

WHEREAS, Amendment 3, the Tennessee Income Tax Prohibition Act, which was approved by voters in 2014, amended the State Constitution to prohibit the Tennessee legislature from levying, authorizing, or permitting any state or local tax upon payroll or earned personal income; and

WHEREAS, Tennessee is a model that demonstrates the success of the consumption tax versus the repressive and suppressive effects on individual production and savings as a result of income taxes; and

WHEREAS, the 16th Amendment to the United States Constitution should be repealed; now, therefore,

BE IT RESOLVED BY THE HOUSE OF REPRESENTATIVES OF THE ONE HUNDRED FOURTEENTH GENERAL ASSEMBLY OF THE STATE OF TENNESSEE, THE SENATE CONCURRING, that the members of this General Assembly do hereby urge the United States Congress to enact H.R. 25, the Fair Tax Act of 2023, which eliminates the personal income tax, the alternative minimum tax, the inheritance tax, the gift tax, the capital gains tax, the corporate income tax, the self-employment tax, and the employee and employer payroll tax and replaces them with a national retail sales tax.

BE IT FURTHER RESOLVED, that an appropriate copy of this resolution be transmitted to the President of the United States and each member of the Tennessee Congressional Delegation.